

China: The Politburo meeting indicated a shift to “countercyclical” policies

The ruling party’s Politburo met today, with the memo pointing to a more accommodative policy stance in H2, largely in line with our *expectations*. Compared with some most recent policy meetings, the memo stressed that great attention should be paid to economic hardships and mentioned stepping up “countercyclical” policies. This shift is consistent with the latest signals from Premier Li’s *symposium* in mid-July which highlighted the need for pro-growth policies. We expect Beijing to rely more on fiscal measures to bolster growth, as the memo called for speeding up fiscal spending. Although the memo said monetary policy tools will be adjusted at a proper time, monetary policy is likely to take a back seat, as neither a rate cut nor an RRR cut were outrightly mentioned. We maintain our *forecast* of no RRR or rate cuts for H2. Notably, the memo mentioned trade rebalancing.

Following the mid-year Politburo meeting, we expect Beijing to initiate a new round of supportive measures. However, the scale of such measures might be limited for three reasons. First, conventional monetary policy measures, such as rate cuts and RRR cuts, either there is limited space or limited impact. Second, Beijing recognizes that some short-term policies, such as the trade-in programs, may have pay-back effects and cannot be used too frequently. Third, Beijing may not be ready to significantly step up fiscal spending on infrastructure capex over concerns of falling returns, while it is also not ready to hike social welfare spending on concerns over an unmanageable fiscal deficit.

A shift back to countercyclical policy measures over recent economic slowdown

The meeting memo re-emphasized countercyclical policy adjustments to stabilize growth, consistent with the *symposium* convened by Premier Li Qiang on 13 July. This suggests that Beijing is concerned about the recent sharp slowdown in growth, as real GDP growth reported its lowest post-Covid reading in Q2, dragged down by domestic demand, including both investment and consumption. FAI and retail sales growth slumped to -9.7% y-o-y and 0.2% in Q2, respectively from 1.7% and 2.4% in Q1. Deteriorating aggregate domestic demand in Q2 is in line with our assessment, as we have pointed out in our previous report on *two K-shapes*, so Beijing cannot assume the new AI economy will cure China’s economic woes.

In Beijing’s top policy meetings, “countercyclical” and “cross-cyclical” are two common terms that could signal its policy stance. “Countercyclical” is generally highlighted when the economy is faced with significant downward pressure and more accommodative policy measures are introduced. By contrast, a “cross-cyclical” policy is often used when the economy faces less downward pressure and policy easing measures are less likely to be employed.

The terms of “countercyclical” and “cross-cyclical” in recent top policy meetings

- *April 2026*: No mentioning of “countercyclical” and “cross-cyclical”
- *March NPC 2026*: Both “countercyclical” and “cross-cyclical” were mentioned
- *December 2025 Politburo* or *December 2025 CEWC*: Both “countercyclical” and “cross-cyclical” were mentioned, with “cross-cyclical” reintroduced
- *July 2025*: No mention of “countercyclical” and “cross-cyclical”
- *April 2025*: Only “unconventional countercyclical” was mentioned
- *March NPC 2025*: No mention of “countercyclical” and “cross-cyclical”
- *December 2024 Politburo* or *December 2024 CEWC*: Only “unconventional countercyclical” was mentioned
- *July 2024*: Only “countercyclical” was mentioned.

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Fiscal policy to turn less contractionary/more expansionary in H2

The meeting pledged to maintain a proactive fiscal policy stance, consistent with the wording used in the *April Politburo meeting*. On specific measures, it pledged to accelerate fiscal spending and the use of government bond funding. However, the meeting did not signal any urgency for near-term incremental fiscal policy measures, in line with market expectations. *The fiscal policy stance was contractionary in H1*, partly dragged down by a slow pace of government bond issuance. According to *our previous estimates*, assuming the full-year net government bond quota is fully utilized, we expect RMB6.80trn of net government bond financing (excluding debt swaps) to be conducted in H2, which would be 57% of the full-year quota and surpass the RMB5.75trn recorded in H2 2025. We expect Beijing to step up fiscal spending by speeding up government bond issuance and the deployment of the RMB800bn new policy financing tool.

Maintain moderately accommodative monetary policy stance

Beijing pledged to maintain a moderately accommodative monetary policy stance, consistent with the wording used in the *April Politburo meeting*. We do not view it as a signal for imminent high-profile policy stimulus and maintain our forecast of no RRR or rate cuts for H2. On a separate note, the memo vowed to flexibly utilize and adjust monetary policy tools, and optimize the implementation of monetary policy together with fiscal policy to stimulate domestic demand. We view this as a signal to accelerate the deployment of the RMB800bn new policy financing tool planned at the *March NPC meeting*.

A rare explicit call for more balanced trade development

The meeting vowed to “expand mutually beneficial international economic and trade cooperation, promote services trade and a more balanced trade development.” This represents the first explicit reference to trade rebalancing during the Politburo meeting, signaling Beijing’s response to the widening merchandise trade surplus and elevated *trade tensions*. Beijing has already been making efforts to address these concerns. In January, Beijing announced the *termination of VAT rebates for exports of solar and battery products*. Following Trump’s visit to China in May, import growth from the US has continued to improve, as China stepped up purchases of US agricultural products. On 26 June, China Southern Airlines, the largest airline company in China, announced it will purchase seven Boeing jets for about USD3.62bn, with options to buy three additional jets for a total potential value of USD5.24bn (source: Cailianshe).

Appendix A-1

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